KANTAR WORLDPANEL

A CTR SERVICE IN CHINA

Efficiently Capturing The Sophisticated Beauty Consumers

Decode Brand Choices In The New Reality

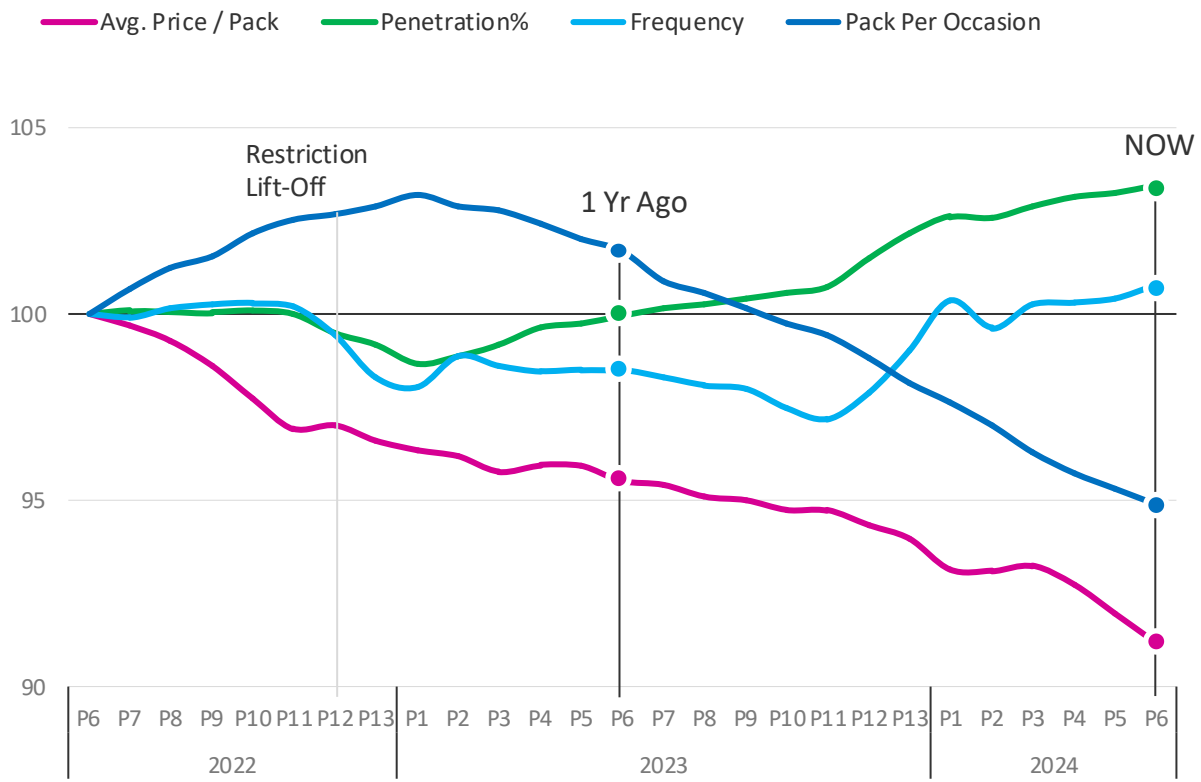
Client Day **2024**

2024 09

Skincare demand started to recover, evident by more buyers shopping more frequently. Overall consumption is yet to return.

Key Purchase Behavior Metric Fluctuation

Facial Skincare | Rolling MAT, Past 3 Years | Index vs 2 Years Ago



Occasions

▲+6%

GR% vs YA

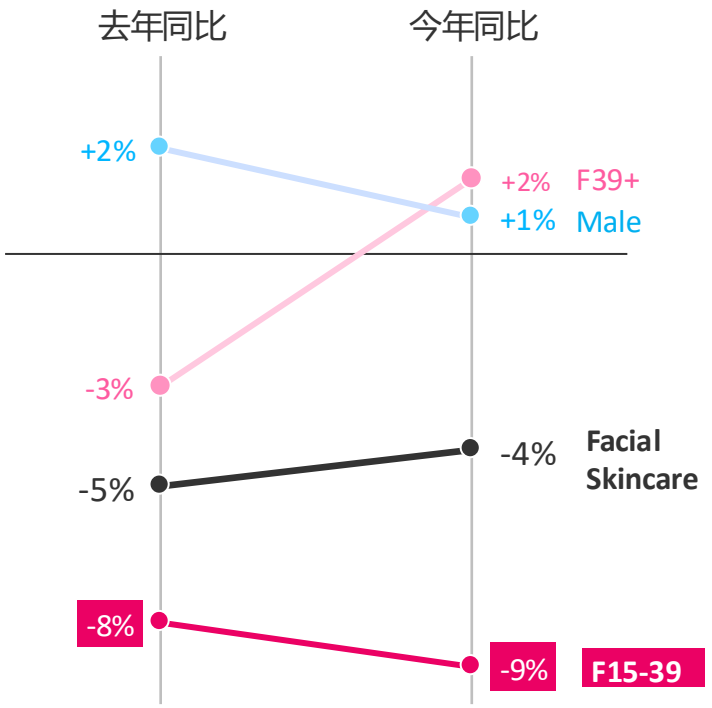
Spend/Buyer

▼-11%

GR% vs YA

Value GR% by Buyers

Facial Skincare | MAT24Q2 vs YA

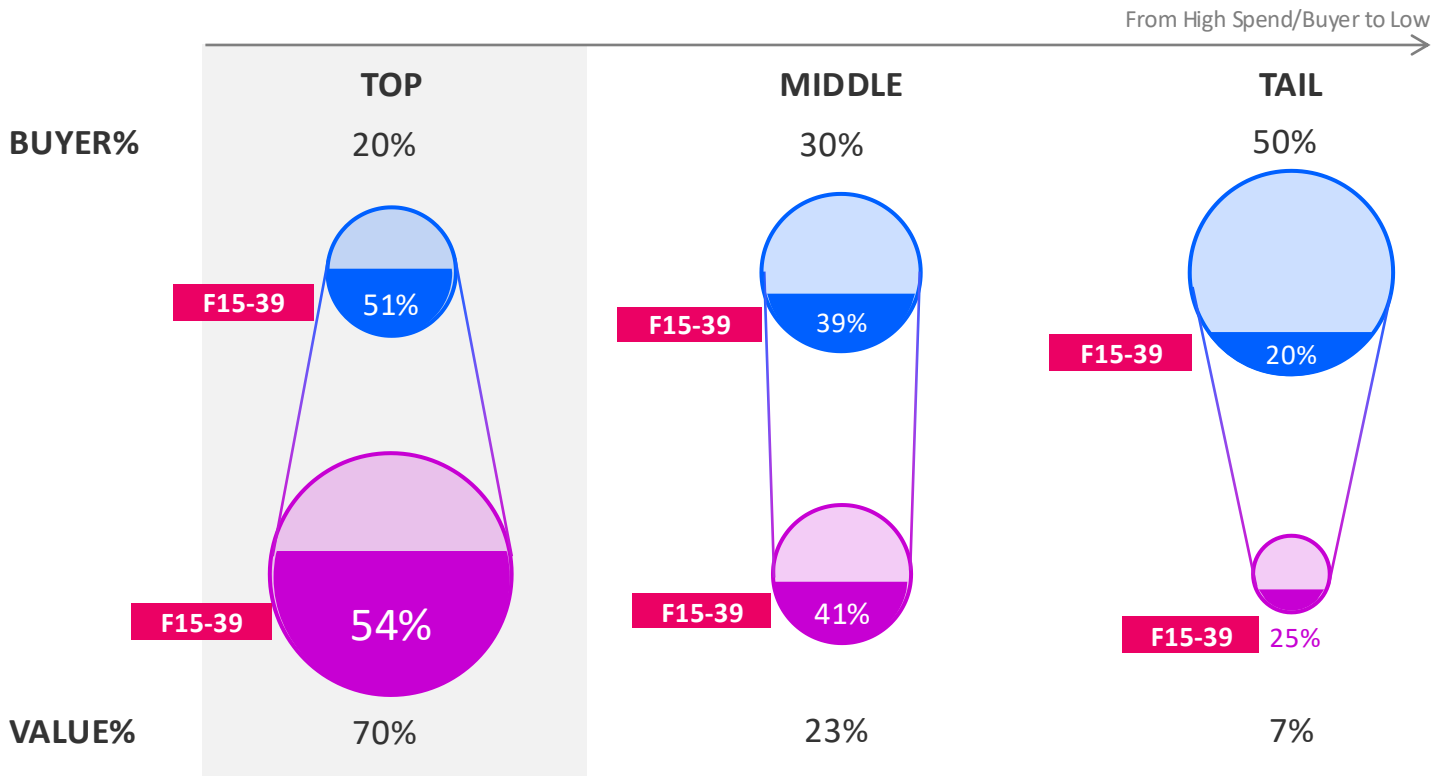


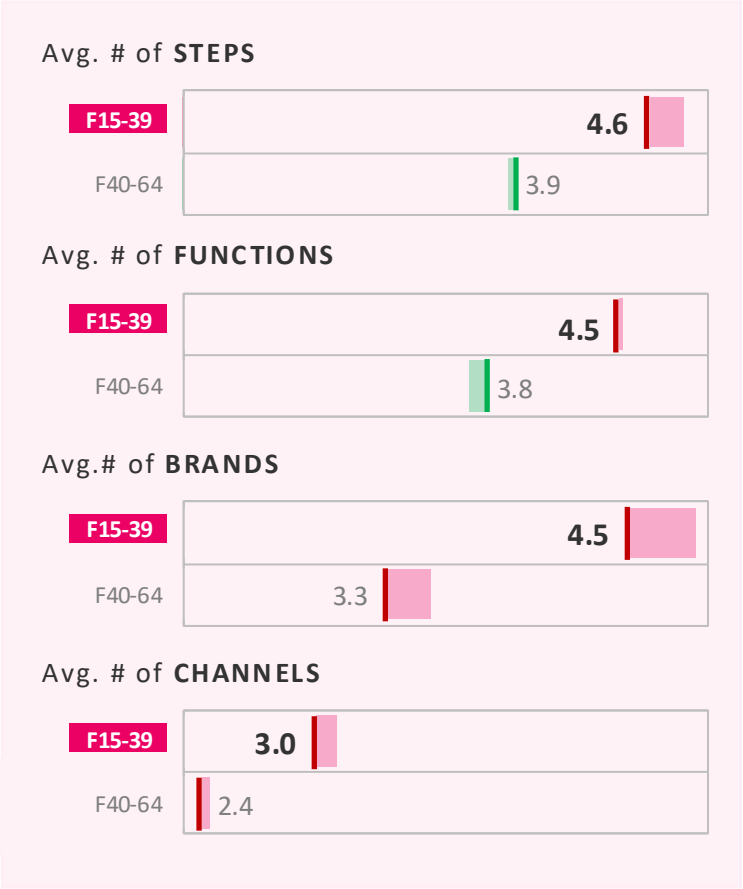
Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-64, MAT24Q2

F15-39 is still the most important high-spending consumers, they try out more brands and segments and have more complicated demands.

The “20-80 Rule” in Skincare, & F15-39 Importance

Facial Skincare | MAT24Q2





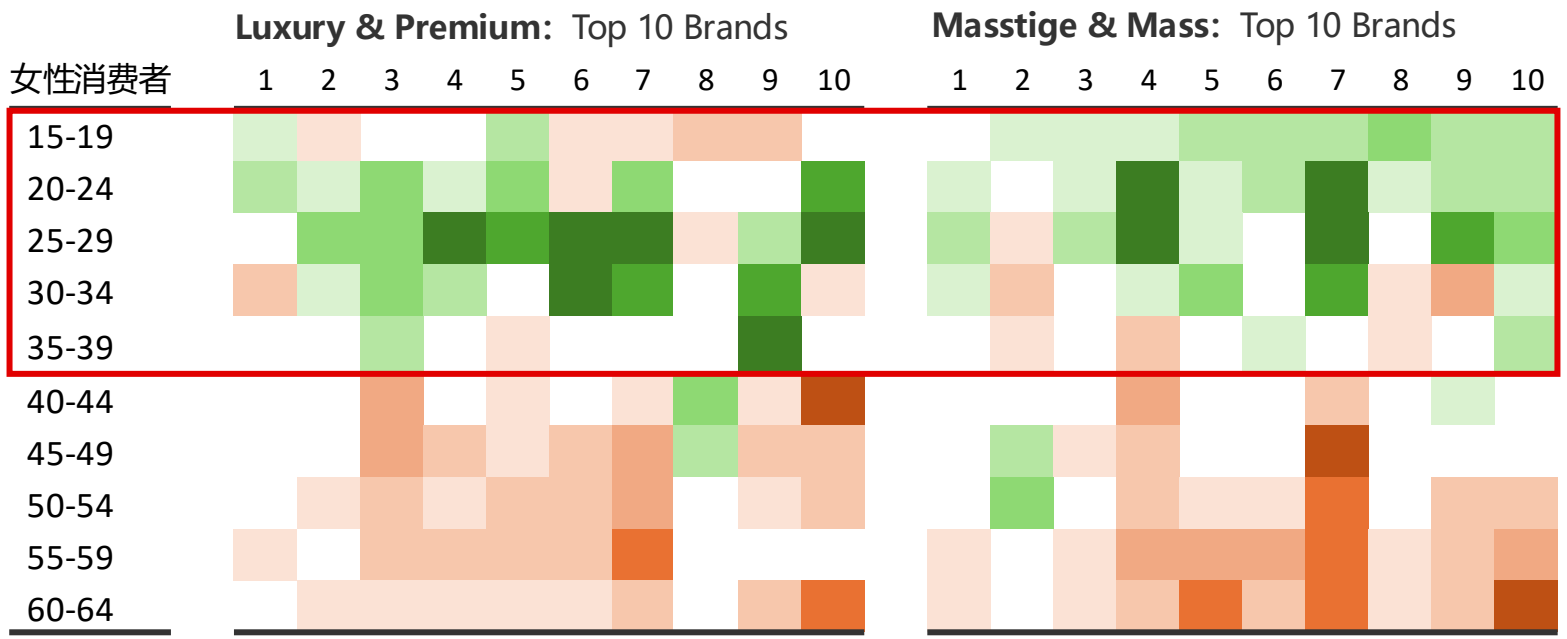
截至2024年6月的52周数据，及相比两年前变化

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-64, MAT24Q2

Major brands are all fighting for the core buyers; however, the core buyers are not exactly loyalty to the brands.

Buyer% mainstream brands, female by Age

Facial Skincare | MAT24Q2 | Top 10 brands in each Price Tier vs Price Tier Average



+1	+2	+3	+4	+5
-1	-2	-3	-4	-5

Brands has higher proportion of age group than Price tier Average.
Brands has lower proportion of age group than Price tier Average.

Most Won't Repeat Purchase

Facial Skincare | MAT24Q2

% of Buyer would only buy a brand ONCE-A-YEAR.

77.4%

Avg. of **Top 20** Brands

79.3%

Avg. of **Top 50** Brands

Starting from the underlying demands, 360° re-comprehend the consumption reasons and purchasing drivers.

RETHINKING DEMAND

Consumers having multiple concerns,

and will solve them with multiple methods.

1

RECALIBRATING EXPECTATION

Behind consumers creative usage scenarios,

are the unmet demands need to be fulfilled.

2

REDEFINING VALUE

Product salience makes the brand,

and brand makes the consumers persona.

3

Skin concerns determine the purchasing demands, however, the patterns of what they choose follows a deeper underlying logic.

Buyers by Concerns	Sensitivity Issues		Wrinkles & Sagging		Darken & Yellowish Skin	
Corresponding Functions Preference Index	Sensitivity & Soothe	68	Anti-Wrinkle	**118**	Whitening	**117**
Functions Beyond Concerns Preference Index	Repair	**123**	TTL Anti-Age (Repair, Rejuvenate, Lifting, Other AA)	**109**	Rejuvenating	**121**
	Balancing/ Refreshing	**141**	Sensitivity & Soothe	**119**	Other AA	**105**

购买偏好指数:
特定人群的功效销额占比 / 整体的功效销额占比 X 100； 一般情况下， 指数>105认为是有效偏好

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-39, MAT24Q1

Hero-SKUs in the market can precisely capture what the consumers truly needs and worried about, even if they are asking a lot.

Concerns	Sensitivity	Wrinkles & Sagging	Darken & Yellowish Skin
Preferred Brands & Hero-SKU	SKINCEUTICALS	PROYA 珀莱雅	CHANDO HIMALAYA
	Hero Step: SERUM Key Function: REPAIR Occasion GR%: +69%	Hero Step: Cream Key Function: Anti-Age Occasion GR%: +49%	Hero Steps: Cream + Serum Key Function: Whitening + Anti-Age Occasion GR%: +67%
Unique Selling Points	 植萃精华携手透明质酸 满满绿色修护能量 告别肌肤问题困扰 舒缓肌肤不良状态 提亮肤色、平衡肌肤	10%5种胜肽 玻尿酸胜肽 微红藻 全新3.0 多肽协同 直击松·垮·纹 双环肽 New + 5重信号肽 胶原助推器「水飞蓟素」New 重组Ⅲ型人源化胶原蛋白 New 3倍神经舒缓力[8]	 美白抗老CP 协同起效 精华+面霜 美白又抗氧 白皙透亮年轻肌 核心抗氧成分 超低温封存冻干技术 HiMurchaSin 极地酵母 喜默因
	Full of repair energy, easing sensitive skins, balancing skin conditions to eradicate long-term sensitivity issues.	10% 5 different high-efficacy peptides for anti-wrinkle effect, also has 3x more nerve-relief capability.	Serum Cream coupling with corresponding Whitening & Anti-Aging focus to maximized the synergy in 1 series.

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-39, MAT24Q1

Holistic Skincare Theory spread outside in: Anti-Aging and Brightening as the target, making skin reflective of healthy status.

Inside-Out Skincare

Facial Skincare | F15-39 | MAT24Q1

21%

of consumers would nourish their skin **internally & externally**

1.5万

3813

4388

Holistic Demand of AA x Brightening

内服外敷

抗老还得内服外敷！一个月get紧致透亮脸！

明天退休 161

Anti-Wrinkle, Anti-Oxidants, Repair all-at-once

光敏食物

夏季防晒✨避开光敏食物❌否则越吃皮肤越黑

万乡之宝寻味记 5535

Light-Sensitive Food to avoid getting darker skin

早C晚A

我家老中医把关的早C晚A饮✅内调米白真行!!

喜悦集·轻食养 17.1w

"Morning C Night A" formula in drinks & food.

内服VC

黄皮警惕！美白成功上岸这样选内服vc绝了

小猪佩奇一家亲888 177

VC supplements by different brightening needs.

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-64, MAT24Q1
Image Source: XIAOHONGSHU case studies.

Lip Stick Effect fades as Longtermism started to rise. Sobering consumers know how to manage their beauty budget and focus on result on investments.

沉浸式消耗 | 囤货消灭计划

Immersive Consuming # Stock Elimination Project

Simplifying Life by Reducing Stock-Ups.
New "challenges" to consume only without purchasing new.

极简护肤 | 高效护肤

Minimalism Skincare # High-Efficiency Skincare

Minimalism in Skincare Repertoire.
Focus on clean and effective derma or high-efficacy steps from luxury brands.

花小钱办大事 | 买对不买贵

Do great w/ Little Money # Buy the Right Thing

Clarifying Product Selection Criteria.
Wanting to spend the money on the right and effective ingredient, without overlap.

医美术后 | 医美的尽头是修复

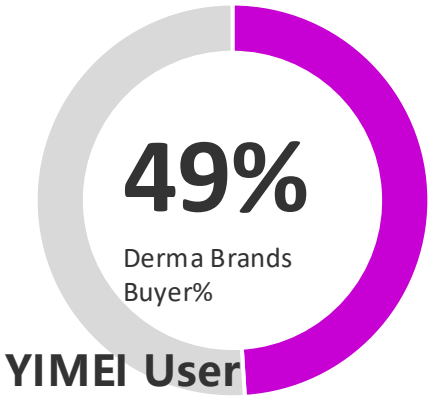
Post-YIMEI steps # End of YIMEI is REPAIR

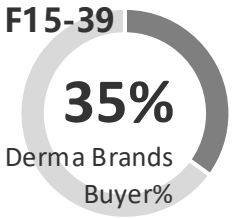
Post-YIMEI Has Changed Routines.
YIMEI comes with risks and damage, skincare usage became derma focused.

YIMEI is not the cannibalizing factor, it offers new directions for brands to pivot towards.

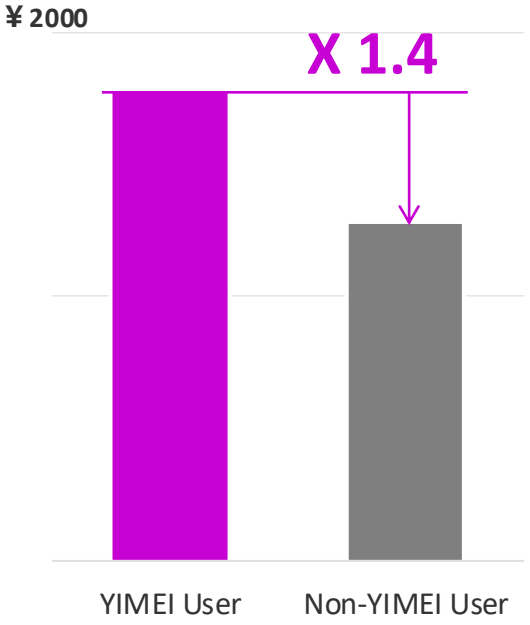
Derma Buyers, but High-Spending Overall

Facial Skincare | F15-39





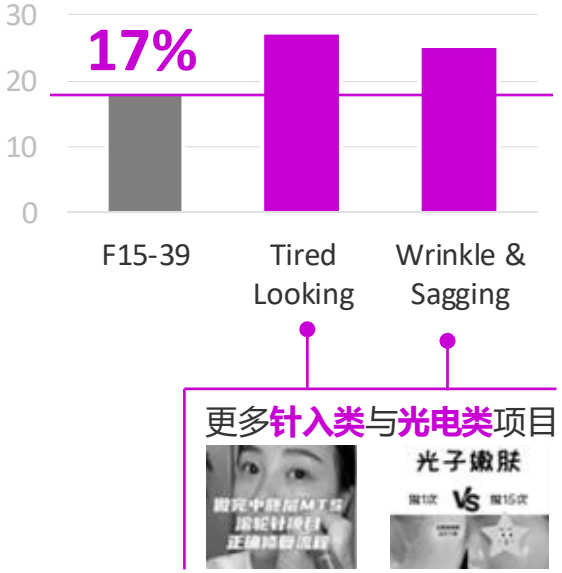
Avg. Spend Per Buyer



Plenty & Suitable for Precise Targeting

Facial Skincare | F15-39

YIMEI Projects, Pen%



医美人群偏好购买的功效

Anti-Wrinkle	Repair
113	116

医美人群偏好购买的品类

Cream	Ampoules	Eye Care
109	171	135

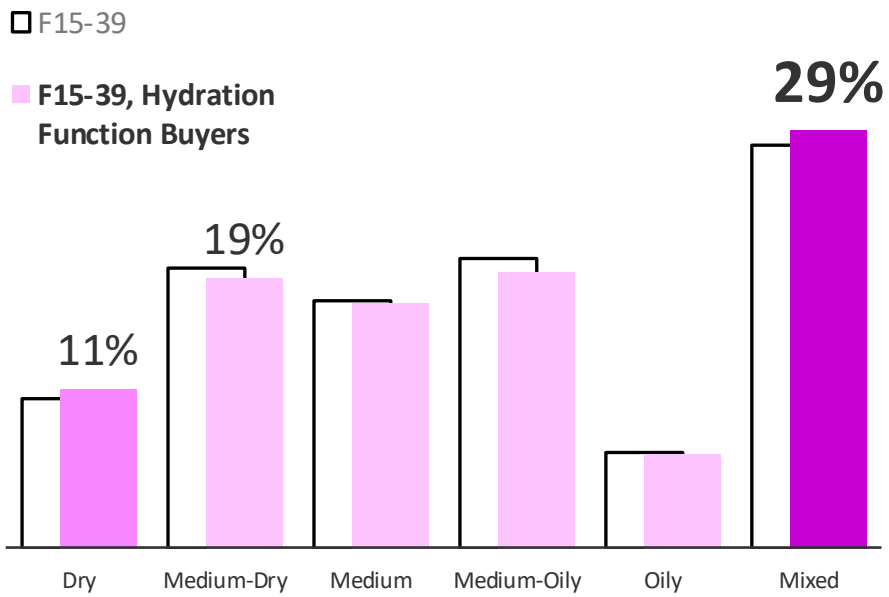
购买偏好指数：特定人群的功效销额占比 / 整体的功效销额占比 X 100； 一般情况下，指数>105认为是有效偏好

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-39, MAT24Q1

More specific self-realization makes basic function not so simple; brands still need to understand the diverse needs of sophisticated users.

Buyer% by Skin Types

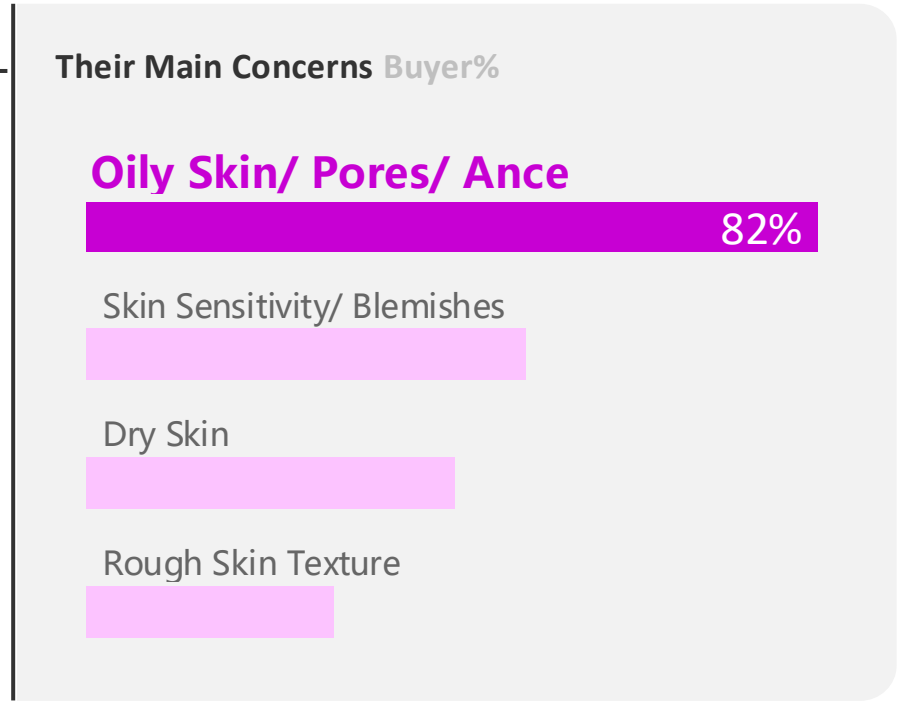
Facial Skincare | F15-39



Buyer% Index

Mixed Skin Type, Hydration Buyers

Facial Skincare | F15-39



118

LUXURY & PREMIUM

Hydration Preference Index

果然越贵越不是智商税

椰椰 2301

购买偏好指数：特定人群的功效销额占比 / 整体的功效销额占比 X 100； 一般情况下，指数>105认为是有效偏好

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-39, MAT24Q1
Image Source: XIAOHONGSHU case studies

Deep self-care more focused in consumers' free time, immersive skincare routines creates more usage needs and scenarios.

Personal Care Usage per Day

Usage Panel | Female 15-39

DAY
5:30-10:30
4.55

NIGHT
20:30-00:30
5.02

WEEKDAY
4.46

WEEKENDS
5.11

Day /Night Expectation Varies; The 'Ladies' has Immersive Skincare Demands.

Case Studies; Purchase Panel | F15-39

晚间护肤 晚间护肤 不同肤质

#night routine #skincare at night #routine for different skin types

新手护肤步骤｜早晚护肤正确步骤！少走弯路！
小橘子呀 2138

别再盲目护肤！揭秘正确的护肤步骤
温柔猛男化妆师KK 4016

晨晚使用产品不同，不同肤质有不同晨晚需求
Morning & Night separating products. Different Skin Types will leverage different routines.

18%
consumers believe that **day & night routine separation is important**

20%
in **high-income** cohort
HHLD Income >12K RMB/month

"贵妇们" 的精致不仅大牌，还要X2
The High-End users not only sophisticate in terms of brands, but also doubles for Morning & Night

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-39, MAT24Q1
Image Source: XIAOHONGSHU case studies

Common demand were satisfied by created usage; brand can leverage the needs to capture the untouched usage scenario.

Basic Product, Multiple Usage

Facial Skincare | CERAVE | F15-39

CeraVe® DEVELOPED WITH DERMATOLOGISTS

+43%
Value GR%

After Sun Repair▼

Before Makeup▼

Body Care▼

After YIMEI Repair ▲

Concealer Mix▲

Hair Care▲

DIY Combination Makes Better Effects

Facial Skincare | HBN Essence Water, LAN Essence Oil | Value GR% | F15-39

HBN® Honeymate Beauty Naturalism

+14%
Essence Water
F15-29 GR%

蘭 LAN

+70%
Essence Oil
F15-39 GR%

Lock-In Moisture▼

KOL Showing Steps ▼

Official Dry Masks▲

DIY Essence Combo▲

Oil Facial Massage▼

Mix Base Makeup▼

Mix Cream▲

Hydra-Oil Masks▲

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-39, MAT24Q2
Image Source: XIAOHONGSHU case studies

Packaging innovation alone can help brands reach consumers needs under various scenarios.

Cream: Innovative Packaging

玉泽-真空结构；薇诺娜-无菌控量；可复美-次抛面霜

YUZE-Vacuum Seal; WINONA-No Contamination; Comfy-Single Dose Cream

Post-YIMEI: Visualized Clarity

可复美-光子嫩肤术后面膜

COMFY-OPL specific mask.
Clean Ingredient, Made for Post-OPL repair

More DIY Needs: Waiting to be Fulfilled

分区面膜，彩虹面膜，C咖小罐膜

Masks by Skin Zones, Rainbow Masks with Different Benefits & Ingredients, C-KA: by Needs Lego Mask Packs

国外DIY护肤品牌 OLEUM VERA

DIY skincare + DIY daily supplements for Beauty

Image Source: XIAOHONGSHU case studies

Ingredient with technology enhancement matrix create brand salience, scarcity and uniqueness creates brand safeguards.

2023 China Skincare
Active SKUs

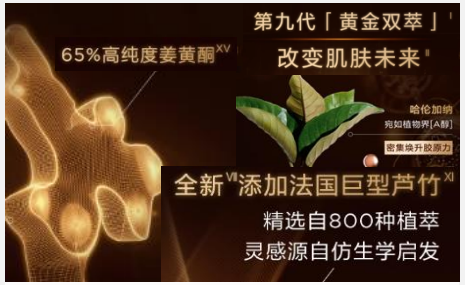
73K+

19%

Consumers would Look through the ingredients and source of each products.

Hero-SKUs Ingredient X Technology Matrix

Facial Skincare | F15-39 | MAT24Q2 vs YA

	独家配方 Unique Ingredients		领先工艺 Advanced Engineering	
珍稀植萃 Scarce Sources	Sourced from 10yr old, altitude 800m places.	林清轩	New Fermenting Tech, Smaller Molecule	CHANDO
		+91% Occasion GR%		+31% Anti-Aging Function Occasion GR%
经典复配 Classic Mixes	 Classic Mix + Selected New Ingredients	CLARINS	Patented Ingredients, Now PRO	L'ORÉAL PARIS
		+15% Occasion GR%		+37% Age Perfect Series Occasion GR%

提炼优化 Extraction Optimized

专利升级 Patent Upgraded

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-39, MAT24Q1
Image Source: XIAOHONGSHU case studies

Demand for experience are upgrading; brands could try to fulfill emotional and social values.

Usage Experience Determines The Final Decision

Facial Skincare | F15-39 | MAT24Q1

25%

Consumers believe **experience (scent, texture, absorption)** is very important to them

6%

Consumers **prefer to use high-efficacy products** over gentle-effect products

针对不同肤质的产品
Different Texture for Different Skin Types

消费者对于高端面霜的质地对比
Consumer Comparing Texture & Absorption Across High-End Brands' Cream

Aroma Is the Persona

香奈儿一号山茶花精华
CHANNEL: Iconic Attractive Scent

伊索樱草面霜
护肤品香气排行榜
AESOP: Soothing & Safe Scent

Data Source: Kantar Worldpanel Beauty Panel, tier 1-5 cities urbanized area Male & Female aged 15-39, MAT24Q1
Image Source: XIAOHONGSHU case studies

01

RETHINK DEMANDS

The first step of capturing the sophisticated consumers is to understand their multi-layered demands. Knowing their ultimate skincare goal helps brands to be the key step of their skincare routine.

02

RECALIBRATE EXPECTATION

Under long-termism, core consumers have a clearer definition for usage scenarios and more precise understanding of their concerns. Each distinct scenario offers new niche market to develop.

03

REDEFINE VALUE

The dual support of ingredients and technology reflects the products efficacy. Brand can also extend on product packaging, skin feel, fragrance to further fulfill consumers needs on emotional & social values.

BEAUTY 360°

Tracking Sophisticated Buyers

NEW
Skin Type

NEW
Skin Concerns

NEW
Beauty Attitudes

NEW
Out-Of-Home YIMEI/SERVICES

NEW
In-Home Beauty Devices

Omni-Channel Real Purchase Records

More Meaningful Target Audience Persona & Brand Positioning